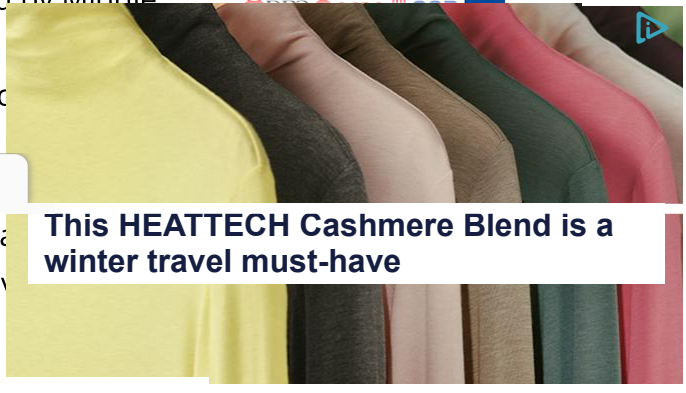
Singapore Banks - UOB Kay Hian 2026-06-26: A Reformer Bent On Downsizing The Fed’s Balance Sheet

Singapore Banks: A Reformer Bent On Downsizing The Fed’s Balance Sheet

- We see “benign” rate hikes, which are likely to be short-lived, given that inflation is caused by Middle East conflicts and, therefore, transitory. expected to taper off in 2027, aided by c prices of crude oil.
- The task force on the size of the Fed’s ba could recommend re starting quantitati in 2027. This would lead to higher bond

DBS OCBC UOB



is a favourable outcome for banks.

US Economy Firing On Many Cylinders.

- The US economy experienced a steady growth of 1.6% y-o-y in 1Q26, underpinned by robust consumer demand, a solid labour market and a surge in business investment, particularly in AI. Household consumption remains the primary engine of expansion, supported by low unemployment and steady wage growth. An upswing in capital expenditure, especially AI-related investment in data centres, software, and advanced computing, has provided tailwind and strengthened productivity.

- Fiscal policy was also supportive with resumption of government spending post-shutdown and targeted tax relief for low- and middle-income households.

ADVERTISING

US Labour Market A Key Pillar Of Strength.

- The unemployment rate was 4.3% in May 26, remaining close its historical low. Non-farm payrolls have continued to expand, with monthly gains of 172,000 jobs in May 26, which exceeded expectations. Wage growth was moderate at 3.5% y-o-y. Relatively limited layoffs reflect a “low-hire, low-fire” dynamic.

- By industry sector, job creation was concentrated in healthcare, leisure and hospitality, and government. More broadly, strong corporate profitability and resilient demand gave firms the capacity to continue hiring.

The War With Iran Is Essentially Over.

- The House of Representatives, led largely by Democrats and joined by some Republicans, has passed a resolution on 3 Jun 26 requiring President Trump to end hostilities or seek explicit congressional authorisation before continuing strikes against Iran, marking a bipartisan rebuke of the Trump Administration. The Senate held multiple votes before finally passing a similar resolution on 23 Jun 26.

- While these resolutions are largely symbolic, they signal growing unease and increased political pressure on the White House.

Not An Interest Rate Up-Cycle.

- New Fed chair Kevin Warsh reiterated that the FOMC's commitment to delivering price stability was unanimous and unambiguous during the last meeting on 17 Jun 26. Nevertheless, the committee expects core PCE inflation to ease from 3.3% in 2026 to 2.5% in 2027.

- WTI crude oil prices have already collapsed 39% to US$69/bbl as the Strait of Hormuz gradually reopens. We see "benign" rate hikes on the cards, which are likely to be short-lived, to recalibrate appropriate restrain and to reassert the Fed independence. This is not an interest rate up-cycle.

An Inflation Hawk And Critic Of QE.

- Kevin Warsh's reputation as an inflation hawk was established during his tenure as a Fed Governor from 2006 to 2011. He was concerned about the long-term risks to price instability even during the depths of the 2008

- Global Financial Crisis, often advocating for higher interest rates and a quicker scaling back of emergency support. He was a staunch critic of quantitative easing (QE), fearing that the Fed's massive bond-buying programme and expanded balance sheet would distort market signals and eventually trigger higher inflation. He resigned from the Board in 2011, shortly after the launch of a second round of QE.

Taskforce On Size Of Fed's Balance Sheet.

- The Fed's newly-established task force on the size of its balance sheet will review the implementation of monetary policy following many years of post-crisis monetary expansion. The task force is mandated to assess the benefits and risks of the Fed's US$6.7t balance sheet, including the "ample reserves" framework, the composition of assets, and whether the policy should rely primarily on interest rates or on balance sheet tools.

- The Fed's balance sheet ballooned to US$9t at its peak in 2022 through QE and has since stabilised following the end of quantitative tightening in late-25. The review will determine the optimal long run size consistent with maintaining sufficient reserves for smooth market functioning, while avoiding an unnecessarily large central bank footprint.

The New Normal Of Higher Bond Yields.

- The taskforce on the size of the Fed's balance sheet is expected to complete its findings by end-26. Thus, we could see quantitative tightening being re-introduced in 2027. This would lead to higher bond yields and steepening of the yield curve, which is a favourable outcome for banks.

Maintain OVERWEIGHT.

- The cessation of reciprocal tariffs and hostilities in the Middle East paves the way for continued economic expansion. Singapore banks deserve to trade at a premium for their structural resilience.

- Our top pick is OCBC (SGX:O39) (https://sginvestors.io/sgx/stock/o39-ocbc-bank/stock-info) for its strategic shift to accelerate growth. OCBC is more sensitive to growth in wealth management fees, which accounted for 63% of its fee income.

- We also like DBS (SGX:D05) (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) for its attractive 2026 dividend yield of 5.0%.

DBS (SGX:D05) (https://sginvestors.io/sgx/stock/d05-dbs/stock-info).

- High-net-worth (HNW) clients have entrusted DBS with a greater share of their assets through its booking centres in Singapore and Hong Kong. It has doubled its AUM since 2019, representing a six-year CAGR of 12.2%. The proportion of AUM invested was high at 58% in 2025. Wealth management fees grew by a sterling 29% in 2025 and 25% y-o-y in 1Q26.

- Asset quality is pristine with NPL formation muted at S$126m in 1Q26. NPL ratio is low at 1.0%, while loan-loss coverage is healthy at 131%. DBS has ample management overlay of S$2,400m for general provisions.

- DBS provides a dividend yield of 5.0% for 2026 with latent potential for more capital management exercises. We expect the quarterly DBS's dividends (https://sginvestors.io/sgx/stock/d05-dbs/corporate-action) to be raised by 6 cents to 72 cents starting 4Q26.

- Maintain BUY. Our DBS's target price (https://sginvestors.io/sgx/stock/d05-dbs/target-price) of S$72.50 is based on 2.86x 2027F P/B, derived from the Gordon Growth Model (ROE: 15.9%, COE: 7.0%, growth: 2.2%).

OCBC (SGX:O39) (https://sginvestors.io/sgx/stock/o39-ocbc-bank/stock-info).

- The acquisition of HSBC's International Wealth and Premier Banking business will bolster growth of wealth management onshore by adding 336,000 customers, 26 branches and AUM of S$6.6b in Indonesia. There is minimal overlap as HSBC's customers are predominantly professionals and white-collar executives, while customers of OCBC NISP, OCBC's listed banking subsidiary in Indonesia, are mainly entrepreneurs and businessmen. The acquisition is aligned with its New Frontier strategy to deepen its domestic presence within the ASEAN region in Malaysia and Indonesia.

- NPL formation moderated to S$123m in 1Q26. OCBC set aside general provisions of S$191m to build an additional buffer for general provisions in 1Q26, lifting loan-loss coverage to 163%.

- OCBC has embarked on a strategic shift to capture growth at its twin wealth hubs of Singapore and Hong Kong. Management targets to deliver Whole-of-Wealth value proposition across the banking, wealth management and insurance businesses.

- Maintain BUY. Our OCBC's target price (https://sginvestors.io/sgx/stock/o39-ocbc-bank/target-price) of S$29.70 is based on 1.98x 2027F P/B, derived from the Gordon Growth Model (ROE: 12.2%, COE: 7.25%, growth: 2.2%).

Sector Catalysts:

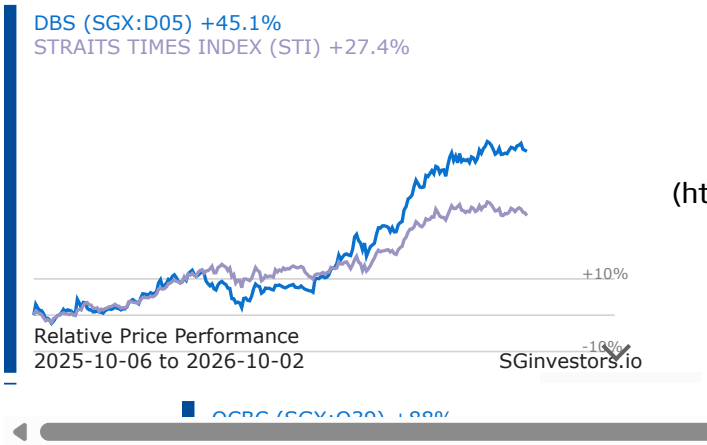
- Stabilisation of NIM and bottoming of net interest income, coupled with healthy growth from wealth management and customer treasury income; and stable asset quality and manageable credit costs.

Sector Risks:

- Economic downturn caused by uncertainties from the prolonged Middle East conflict and elevated energy prices.

Above is an excerpt from a report by UOB Kay Hian Research.
Clients of UOB Kay Hian may be the first to access the full PDF report @ https://www.utrade.com.sg/ (https://www.utrade.com.sg/).

Analyst: Jonathan KOH CFA
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